



SPONSOR: Rep. Hilovsky & Sen. Buckson & Sen. Poore
Reps. Burns, Gray, Morris, Postles, Romer, D. Short,
Shupe, Michael Smith, Wilson-Anton, Yearick,
K. Johnson, K. Williams; Sens. Hoffner, Huxtable,
Richardson, Wilson

HOUSE OF REPRESENTATIVES
153rd GENERAL ASSEMBLY

HOUSE BILL NO. 31

AN ACT TO AMEND TITLE 6 OF THE DELAWARE CODE RELATING TO VETERANS' BENEFITS AND TRADE PRACTICES.

WHEREAS, veterans seeking assistance or advice to understand and file Veterans Administration benefit claims sometimes pay burdensome fees for such help outside of the traditional Veterans Administration (V.A.) accredited agencies; and

WHEREAS, businesses that are not V.A. accredited may not adhere to established professional and ethical standards and may coerce veterans into unethical contracts and may mislead veterans; and

WHEREAS, non-V.A. accredited businesses sometimes use predatory practices to promise or guarantee, for a fee, that a veteran will receive increased benefits, an increase in a disability rating, or receive expedited claims service; and

WHEREAS, some non-V.A. accredited businesses have requested from veterans' access to a veteran's personal V.A. file and thereby expose the veteran's personal information; and

WHEREAS, non-V.A. businesses sometimes fail to disclose that services may be fully available at no charge to the veteran through the V.A. or V.A. accredited agencies and that other services beyond the scope of the business may be available to the veteran from the V.A. or its accredited agencies; and

WHEREAS, the V.A. accredited agencies include V.A. accredited attorneys, claims agents, organizations like the American Legion, VFW, and American Veterans.

NOW, THEREFORE:

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF DELAWARE:

Section 1. Amend Chapter 25, Title 6 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

Subchapter XII. Veterans' Benefits and Trade Practices

§ 2599. Prohibition from persons who are not accredited by the United States Department of Veterans Affairs receiving compensation for advising or assisting with veterans' benefits.

22 (a)(1) No person who is not accredited by the United States Department of Veterans Affairs shall receive
23 compensation for advising or assisting any individual with regard to any veterans' benefits matter, except as permitted
24 under federal law and provided herein.

25 (2) No person who is not accredited by the United States Department of Veterans Affairs shall receive
26 compensation for referring any individual to another person to advise or assist this individual with any veterans' matter.

27 (3) A person who is not accredited by the United States Department of Veterans Affairs seeking to receive
28 compensation for advising or assisting any individual with any veterans' benefits matter shall, before rendering any
29 services, memorialize all terms regarding the individual's payment of fees for services rendered in a written agreement,
30 signed by both parties, that adheres to all criteria that would be applicable if the person seeking to receive compensation
31 were accredited by the United States Department of Veterans Affairs specified within 38 C.F.R. §14.636.

32 (4) No person who is not accredited by the United States Department of Veterans Affairs shall receive any
33 compensation, unless the person would be eligible to receive compensation for such services under 38 C.F.R. § 14.636 if
34 the person receiving compensation were accredited by the United States Department of Veterans Affairs.

35 (5) No person who is not accredited by the United States Department of Veterans Affairs shall receive excessive or
36 unreasonable fees as compensation for advising or assisting any individual with any veterans' benefits matter. The factors
37 articulated within 38 C.F.R. §14.636 that would be applicable if the person receiving compensation were accredited by the
38 United States Department of Veterans Affairs shall govern determinations of whether a fee is excessive or unreasonable.

39 (b)(1) No person who is not accredited by the United States Department of Veterans Affairs shall advise or assist
40 for compensation any individual concerning any veterans' benefits matter without clearly providing, at the outset of the
41 business relationship, the following disclosure, both orally and in writing:

42 "This business is not sponsored by or affiliated with the United States Department of Veterans Affairs or any State
43 of Delaware agency, department, or commission, or any other federally chartered veterans' service organization. Other
44 organizations may be able to provide you with this service free of charge. Products or services offered by this business are
45 not necessarily endorsed by any of these organizations. You may qualify for other veterans' benefits beyond the benefits for
46 which you are receiving services here."

47 The written disclosure shall appear in at least twelve-point font and shall appear in a readily noticeable and
48 identifiable place in the person's agreement with the individual seeking services. The individual shall verbally acknowledge
49 understanding of the oral disclosure and shall sign the document in which the written disclosure appears, to represent
50 understanding of these provisions. The person offering services shall retain a copy of the written disclosure while providing

veterans' benefits services for the compensation to the individual and for at least 1 year after the date on which the service relationship terminates.

(2) No person who is not accredited by the United States Department of Veterans Affairs shall advertise for compensation services in veterans' benefits matters without including the following disclosure:

" This business is not sponsored by, or affiliated with, the United States Department of Veterans Affairs or any State of Delaware agency, department, or commission, or any other federally chartered veterans' service organization. Other organizations, and other federally chartered veterans' service organizations, may be able to provide you with these services free of charge. Products or services offered by this business are not necessarily endorsed by any of these organization. You may qualify for other veterans' benefits beyond the services that this business offers. "

If the advertisement is printed, including but not limited to advertisements visible to internet users, the disclosure shall appear in a readily visible place on the advertisement. If the advertisement is verbal, the spoken statement of the disclosure shall be clear and intelligible.

(c) Nothing in this section is to be construed as applying to, limiting, or expanding the requirements imposed on persons accredited by the United States Department of Veterans Affairs and regulated by that agency.

(d) Nothing in this section is to be construed as authorizing any person to engage in any practice in violation of federal law.

§ 2599A. Remedies.

(a) A private cause of action shall be available to any victim of a violation of § 2599 of this subchapter. Such cause of action may be brought in any court of competent jurisdiction in this state without prior action by the Attorney General as provided for in this section.

(b) A violation of this subchapter shall be deemed an unlawful practice under § 2513 of Title 6 and a violation of Subchapter II of Chapter 25 of Title 6.

(c) The court may award reasonable attorneys' fees to plaintiff if the court finds that defendant has willfully violated any agreement to cease and desist such actions in violation of § 2599 of this subchapter or any court order enjoining the defendant from violating § 2599 of this subchapter.

(d) If any person is found to have violated § 2599 of this subchapter, and said violation is committed against an elder person or a person with a disability, in addition to any civil penalty imposed, the court may impose an additional civil penalty not to exceed \$10,000 for each violation.

§ 2599B. Definitions.

As used in this subchapter, unless the context otherwise requires:

81 (1) “Compensation” means payment of any money, thing of value, or financial benefit.

82 (2) “Elder person” means a person who is 65 years of age or older.

83 (3) “Person” means an individual, corporation, government, or governmental subdivision or agency, statutory
84 trust, business trust, estate, trust, partnership, unincorporated association, 2 or more of any of the foregoing having a joint
85 or common interest, or any other legal or commercial entity.

86 (4) “Person with a disability” means a person who has a disability as defined in § 4602 of this title.

87 (5) “Veterans’ benefits matter” means the preparation, presentation, or prosecution of any claim affecting any
88 person who has filed or expressed an intent to file a claim for any benefit, program, service, commodity, function, or status,
89 entitlement to which is determined under the laws and regulations administered by the United States Department of
90 Veterans Affairs or any State of Delaware agency, department, or commission pertaining to veterans, their dependents, their
91 survivors, and any other individual eligible for such benefits.

92 Section 2. This Act takes effect 18 months after its enactment into law.

SYNOPSIS

This act regulates persons who receive compensation for advising or assisting with veterans' benefits earned by serving our nation in the military. This bill would not prohibit persons or business entities from receiving compensation for advice to Veterans that is unrelated to veteran claims or services available to veterans from the V.A. or its accredited agencies. Investment, insurance, banking, and other advice or services not provided by the V.A., or its accredited agencies may be obtained by veterans and fees charged for such services.